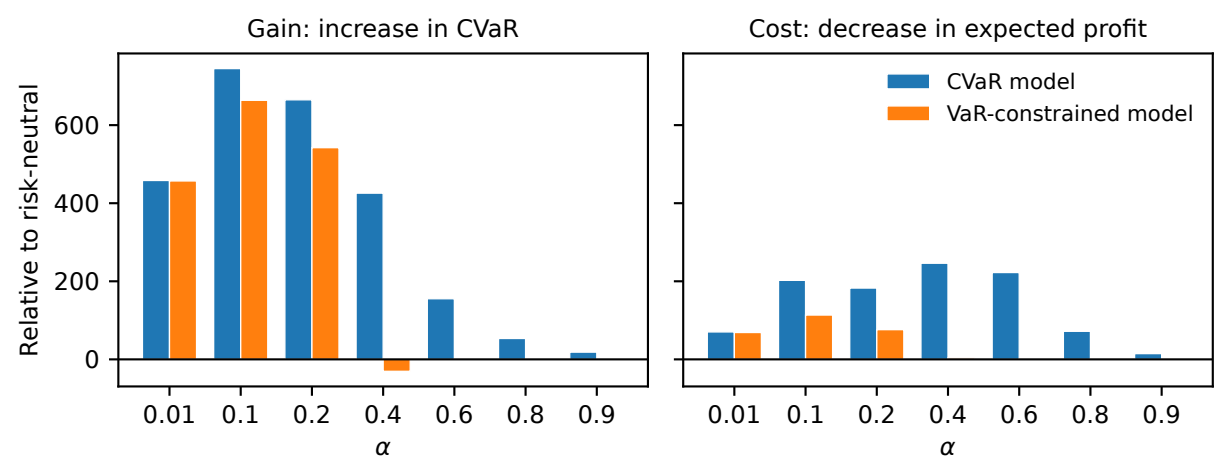
Gain: increase in CVaR
Cost: decrease in expected profit
Relative to risk-neutral
600
400
200
0
CVaR model
VaR-constrained model
0.01
0.1
0.2
0.4
0.6
0.8
0.9
α
0.01
0.1
0.2
0.4
0.6
0.8
0.9
α